

## **CONTRACT BETWEEN THE CITY OF CHEYENNE AND RBC GLOBAL ASSET MANAGEMENT (U.S.) INC.**

This contract is entered into by and between the City of Cheyenne, a municipality duly organized and existing under the laws of the State of Wyoming, whose address is 2101 O'Neil Avenue, Cheyenne, Wyoming 82001, hereafter ("City"), and RBC Global Asset Management (U.S.) Inc., whose address is 100 South Fifth Street, Suite 2300, Minneapolis, Minnesota 55402-1240, hereafter ("Advisor").

1. **Purpose of Contract.** The purpose of this contract is to authorize the City to maintain an investment account (the "Account") with the Advisor and authorizes the Advisor to manage all assets from time to time held in the Account (the "Assets"). The City hereby appoints the Advisor as its investment advisor with respect to the Assets, and delegates to the Advisor the authority to manage, acquire and dispose of the Assets.
2. **Term.** This Contract is effective when all parties have executed it and all approvals have been granted. The term of this Contract shall be through June 30, 2015. By mutual agreement, this Contract may be extended for two (2) additional one (1) year periods.
3. **Payment.** The City shall pay to the Advisor, as full compensation for services rendered under this Agreement, a fee based on the value of the Assets, computed in accordance with Section 4. This annual fee is set forth in Appendix B and shall be paid on a quarterly basis in advance. For the purpose of calculating such fee with respect to any calendar quarter, the value of the Assets shall be determined as of each Appraisal Date for the completed prior calendar quarter. If the Account is terminated during a calendar quarter, the fee will be prorated based on the period of time during the quarter that the Account was open and any unused portion of any fees paid in advance shall be returned to the City. The Advisor shall not be responsible for, and shall be reimbursed by the City for, any and all custodial fees, and for all other reasonable out-of-pocket costs and expenses incurred by the Advisor related to its performance under this Agreement. The fees and expenses due to the Advisor under this Section 3 shall be payable within fifteen (15) days after the City's receipt of the appraisal referred to in Section 4 and the Advisor's statement of the amount of fees and expenses due, but if not so paid shall be a lien upon and payable from the Assets.
4. **Appraisal of Account.** The Advisor shall provide the City with an appraisal of the Account, summarizing the Assets, including cash and accrued income for individual securities or net asset value for any funds, as of the last day of each calendar quarter on which the bond markets are open for trading (the "Appraisal Date"). To the extent possible, each security shall be valued on the Appraisal Date at the last traded price for such security. Other sources used for fixed income securities pricing shall include vendor-based evaluations, dollar price quotes from

broker-dealers for identical securities, quoted prices for similar assets, prices calculated using observable inputs, index providers, proprietary pricing software, and matrix pricing. Trades which have not been settled as of the Appraisal Date and any other Assets shall be valued at fair value as determined in good faith by the Advisor. In making valuation determinations, the City understands and acknowledges that the Advisor may rely on the services of a third-party pricing service. Notwithstanding anything to the contrary herein, valuation determinations shall be made using the Advisor's own valuation methodology, unless otherwise agreed to in writing.

5. **City's Responsibilities.** The City shall:

- i. Advise the Advisor in writing of the investment objectives of the Account and any investment restrictions applicable to the Account, and of any changes in such objectives or restrictions. The initial written statement of investment policy, which shall be attached hereto as Appendix A, shall have the effect of limiting the investments the Advisor is authorized to make for the Account and shall be binding upon the Advisor. This written statement of investment policy may be modified by the City at any time. The City shall communicate any such changes to the Advisor in writing at least ten business days before the date on which they shall become effective.
- ii. The City may at any time add Assets to or remove them from the Account; provided that certain lead time may be necessary between the time of the City's notice to the Advisor of the City's intent to transfer Assets from the Account and the subsequent removal of such Assets to allow for any necessary valuation by the Advisor of Assets to be transferred from the Account; and provided further that in no event shall such necessary lead time exceed a reasonable valuation period from the time the Advisor receives notice of the City's intent to transfer assets from the Account.

6. **Authority of Advisor.** The Advisor shall have full and complete discretion to direct and manage the investment and reinvestment of the Assets, including the purchase, sale, exchange, conversion or other transactions in any and all securities (including, without limitation, bonds, debentures, notes, certificates of deposit, time deposits, banker's acceptances, repurchase agreements and mutual funds) with one or more broker/dealers which the Advisor shall select. Notwithstanding the foregoing, the Advisor shall not engage in short sales or margin transactions, without the prior written approval of the City.

7. **Representations and Warranties of the City.**

- i. The City represents and warrants to the Advisor that the City has the requisite legal capacity and authority to execute, deliver and perform its obligations under this Agreement.
- ii. The City represents and warrants to the Advisor that this Agreement has been duly authorized, executed and delivered by the City and is the legal, valid and binding agreement of the City, enforceable against the City in accordance with its terms.
- iii. The City's execution of this Agreement and the performance of its obligations under this Agreement do not conflict with or violate any provisions of any governing documents of the City, any applicable state or federal law, or any obligations by which the City is bound, whether by contract, operation of law or otherwise.

8. **Special Provisions.**

- i. Custody of Securities/Transaction Procedures. The Advisor shall not act as custodian for the Account and shall not take possession of any Assets. The City shall maintain or establish, in the City's name, an account with a broker/dealer, bank or trust company in which the City shall maintain or deposit the Assets. The broker/dealer, bank or trust company selected by the City shall be the custodian of the Assets. The City will cause the custodian to take all necessary steps to settle purchases, sales and trades made by the Advisor, including delivery of certificated securities, payments of funds and such other acts as may be necessary to fulfill such custodial responsibilities. The Advisor shall give notice and directions with respect to transactions in a manner that shall be agreed upon with the custodian. The Advisor shall not be responsible for any loss caused by any act or omission of the custodian. The City shall execute any and all documents that the Advisor may from time to time transmit to the City for the purpose of confirming securities transactions of the Account.
- ii. Allocation of Brokerage. The Advisor may allocate portfolio transactions for the Account to one or more broker/dealers, which the Advisor shall select, for execution on such markets, at such prices and at such commission rates as in the Advisor's good faith judgment will be in the Account's best interest. In so doing, the Advisor will consider not only available prices and commission rates, but also other relevant factors such as, without limitation, execution capabilities, research and other services provided by such broker/dealers which are expected to enhance the Advisor's general portfolio management capabilities, the value of an ongoing relationship of the

Advisor with such broker/dealers, and the full range and quality of such broker/dealers' services, without having to demonstrate that any of the foregoing factors are of direct benefit to the Account. The Advisor shall not be responsible for any loss caused by any act or omission of any broker/dealer; provided, however, that with respect to those broker/dealers that have been selected by the Advisor, the Advisor has acted prudently in the selection of such broker/dealers.

- iii. Reports. The Advisor will send the City monthly reports regarding the Assets, including a summary of transactions executed and the valuation of the Assets. The City shall provide to the Advisor or cause to be provided to the Advisor such information and reports relating to the Account and the services to be provided by the Advisor under this Agreement as the Advisor may reasonably request. The Advisor is not responsible for the accuracy of such information and reports. The records provided by the City, the City's custodian or other third parties shall be the official records of the Account. The City is urged to compare statements provided by the custodian of the Account with reports provided by the Advisor.
- iv. Confidentiality. All information and advice furnished by the Advisor to the City under this Agreement shall be confidential and shall not be disclosed to third parties, except as required by law. All information furnished by the City to the Advisor under this Agreement shall be confidential and shall not be disclosed to any unaffiliated third party, except as permitted or required by law, where it is necessary to effect transactions or provide other services to the City, or where the City requests or authorizes the Advisor to do so. Further, in receiving holdings data, the City agrees that the data is not being obtained in order to affect securities transactions based upon such information or to provide such information to another party.
- v. Representation by the Advisor/Standard of Care. The Advisor hereby represents and warrants that it is registered as an investment adviser under the Investment Advisers Act of 1940 (the "Advisers Act"), and shall take all actions necessary to remain duly registered under the Advisers Act. The Advisor undertakes to perform only those duties that are specifically set forth in this Agreement. Except for bad faith, intentional misconduct, negligence, or violation of any federal, state, or local law or professional standard of care in regard to the Advisor's performance of its duties under this Agreement, neither the Advisor nor any of its directors, officers, employees or agents shall be liable for any acts or omissions or for any loss suffered by the Account. The Advisor and its directors, officers, employees and agents shall be entitled to rely, and shall be protected from liability in relying, upon any information or instructions furnished to it (or any of them as individuals) which is believed in good faith to be accurate and reliable. The City understands and

acknowledges that the Advisor does not warrant any rate of return, market value or performance of any assets in the Account. The federal securities laws impose liabilities under certain circumstances on persons who act in good faith and, therefore, nothing herein shall constitute a waiver of any right which the City may have under those laws.

- vi. Receipt by the City of Part 2 of Form ADV. The City acknowledges receipt of the Advisor's Form ADV, Part 2.
- vii. Services for Other Cities. The City acknowledges that the Advisor provides investment advisory services for other clients. The City agrees that the Advisor may give advice or take action with respect to any of its other clients which may differ from advice given, or the timing or nature of action taken, with respect to the Account, so long as it is the Advisor's policy, to the extent practical, to allocate investment opportunities to the Account over a period of time on a fair and equitable basis relative to other clients. The Advisor shall have no obligation to purchase or sell for the Account any security which the Advisor, its directors, officers, employees or agents may purchase or sell for their own accounts or for the account of any other client, if in the Advisor's opinion such transaction appears unsuitable, impractical or undesirable for the Account.

9. **Insurance.** The Advisor shall provide the City with proof of the following insurance coverages:

#### **Professional Liability Insurance**

- i. The Advisor shall provide proof of professional liability insurance or errors and omissions liability insurance in an amount not less than \$1,000,000 to protect the City from any and all claims arising from the Advisor's negligence in the performance of duties under this Agreement. The City prefers that this liability insurance coverage be provided pursuant to an "occurrence" policy.
- ii. If this coverage is provided pursuant to a "claims made" policy:
  - a. the Advisor shall, concurrently with the execution of this Agreement, provide the City with a certificate of insurance demonstrating that such coverage is or shall be in effect at the time the Advisor begins the provision of services under this Agreement; and

- b. In the event the Advisor's services extend into a future policy period, the Advisor shall, prior to the policy expiration date, provide the City with a new certificate of insurance demonstrating that such coverage is or shall be in effect during all periods of time that the Advisor will provide services under this Agreement; and
  - c. the Advisor shall maintain said "claims made" coverage for a period of five (5) years following the last date that the Advisor has provided services under this Agreement; and
  - d. In the event the Advisor or the insurer terminates "claims made" coverage prior to the expiration of the periods provided in subparagraphs a, b, or c of this paragraph, the Advisor shall provide to the City advance written notification of the termination of said coverage and shall provide the City with an endorsement for an extended reporting period ("tail coverage") which shall be in effect for a period of time not less than five (5) years following the last date that the Advisor has provided services under this Agreement.
- iii. Advisor shall provide the City with a certificate of insurance listing the City as certificate holder prior to beginning any work under this Agreement.

It is understood and agreed that this policy is primary and not contributory. All policies required under this Contract shall be in effect for the duration of the Contract. It shall be an affirmative obligation upon Advisor to immediately notify in writing the city risk manager, city clerk, and city attorney of any fact, circumstance, or occurrence that has resulted in or may result in the cancellation or substantive change of any insurance coverage required by this Contract, and failure to do so shall be construed to be a breach of this Agreement.

The City's failure to review the certificate of insurance shall not affect the City's rights or Advisor's obligation hereunder.

Any insurance company providing coverage under this Contract shall have a minimum A. M. Best rating of A- (excellent).

## 10. **General Provisions.**

- i. Amendments. Any changes, modifications, revisions or amendments to this Contract which are mutually agreed upon by the parties to this Contract shall be incorporated by written instrument, executed and signed by all parties to this Contract.

- ii. Applicable Law. The construction, interpretation and enforcement of this Contract shall be governed by the laws of the State of Wyoming. The courts of the State of Wyoming shall have jurisdiction over this Contract and the parties, and the venue shall be in the First Judicial District, Laramie County, Wyoming.
- iii. Compliance with Laws. The Advisor shall comply with all applicable federal, state and local laws and regulations in the performance of this Contract.
- iv. Entirety of Contract. This Contract and Attachments A and B represent the entire and integrated Contract between the parties and supersedes all prior negotiations, representations and agreements, whether written or oral.
- v. Indemnification. The Advisor agrees to release, indemnify, defend and hold harmless the City and its officers, agents, employees, successors and assigns from any and all causes of action, claims, demands, liabilities, penalties, forfeitures and suits, and the costs and expenses incident thereto, including reasonable attorney's fees, in any manner arising out of the Advisor's performance under this Contract, except to the extent such causes of action, claims, demands, liabilities, penalties, forfeitures and suits are directly attributable to the gross negligence or willful misconduct of the City.
- vi. Independent Contractor. The Advisor shall function as an independent contractor for the purposes of this Contract. The Advisor shall assume sole responsibility for any debts or liabilities that may be incurred by the Advisor in fulfilling the terms of this Contract. Nothing in this Contract shall be interpreted as authorizing the Advisor or its agents or employees to act as an agent or representative of or on behalf of the City or to incur any obligation of any kind on the behalf of the City.
- vii. Notice. Any notice, correspondence or billing required to be given by the terms of this Agreement shall be delivered by hand, or delivered by mail, postage prepaid, to the addresses of the respective parties stated above.
- viii. Nondiscrimination. The Advisor shall comply with the Civil Rights Act of 1964, the Wyoming Fair Employment practices Act, Wyo. Stat. §27-9-105 et seq., and the Americans with Disabilities Act (ADA), 42 U.S.C. § 12101, et. seq. The Advisor shall assure that no person is discriminated against based on the grounds of age, race, sex, creed, color, national origin, ancestry, qualified disability, or pregnancy in connection with the performance of this Agreement.

- ix. Prior Approval. This Contract shall not be binding upon either party, no services shall be performed under the terms of this Contract nor shall payment be made until this Contract has been approved by all necessary authorities.
- x. Governmental Immunity. The City of Cheyenne specifically retains all immunities and defenses available to it as a governmental entity pursuant to the Wyoming Governmental Claims Act, Wyo. Stat. § 1-39-101 et seq., and all other applicable laws. Designation of venue, choice of law, enforcement action, and similar provisions should not be construed as a waiver of governmental immunity.
- xi. Termination. Either party may terminate this Contract without cause upon thirty (30) days written notice to the other party. Either party may terminate this Contract immediately with cause.
- xii. Default. Each and every term and condition herein shall be deemed a material element of the Agreement. In the event either party shall fail or refuse to perform according to the terms of this Agreement, such party may be declared in default.
- xiii. Remedies.
  - a. In the event a party declares the other party in default hereof, said party declaring default shall notify the defaulting party in writing and such defaulting party shall be allowed a period of fifteen (15) days to cure said default. In the event that the default remains uncorrected, the party not in default may elect to: (a) terminate the Agreement and seek damages; (b) treat the Agreement as continuing and require specific performance; or (c) avail itself of any other remedy at law or equity.
  - b. In the event the Advisor fails to strictly perform in accordance with this Agreement, the City may elect to make good such deficiencies and charge the Advisor therefore.
- xiv. Waiver. The waiver by either party of any term, condition or covenant, or breach of any term, condition or covenant, shall not constitute a waiver of any other term, condition or covenant, or breach thereof.
- xv. Severability: If any provision, section, subsection, sentence, clause, or phrase of this Agreement is invalidated by any court of competent jurisdiction, such holding shall not affect the validity of the remainder of this Agreement, which shall continue in full force and affect.

- xvi. Successors and Assigns. All the terms, conditions, and provisions herein shall inure to the benefit of and be binding upon the parties hereto and their respective successors and assigns.
- xvii. Assignment. Neither party shall assign this Agreement without prior written consent of both parties. Any delegation or assignment shall not operate to relieve either party of its responsibilities hereunder.
- xviii. Third Party Rights. The Parties do not intend to create in any other individual or entity the status of third party beneficiary, and this Agreement shall not be construed so as to create such status. The rights, duties and obligations contained in this Agreement shall operate only between the parties to this Agreement, and shall inure solely to the benefit of the parties to this Agreement. The parties to this Agreement intend and expressly agree that only the parties signatory to this Agreement shall have any legal or equitable right to seek to enforce this Agreement, to seek any remedy arising out of a party's performance or failure to perform any term or condition of this Agreement, or to bring action for breach of this Agreement. This paragraph is not intended nor shall it be construed to waive any of the parties' immunities.

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11. **Signatures.** In witness thereof, the parties to this Contract, through their duly authorized representatives, have executed this Contract on the days and dates set out below and certify that they have read, understood and agreed to the terms and conditions of this Contract.

This Contract may be executed in multiple counterparts, each of which shall be an original and all of which, when taken together, shall constitute one and the same Contract.

The Contract date is the date of the last signature affixed to this page.

CITY OF CHEYENNE

Date: \_\_\_\_\_

By: \_\_\_\_\_

Richard L. Kaysen, Mayor

(SEAL)

Attest:

\_\_\_\_\_

RBC GLOBAL ASSET MANAGEMENT (U.S.) INC.

Date: \_\_\_\_\_

By: \_\_\_\_\_

Title: \_\_\_\_\_

Attest:

\_\_\_\_\_

## **APPENDIX A**

### **Current Investment Policy**

## **APPENDIX B**

### **FEE SCHEDULE**

0.15% of the first \$25,000,000 in assets  
0.10% of the next \$25,000,000 in assets  
0.08% of assets greater than \$50,000,000

Minimum Annual Account Fee is \$37,500.